

ROI Analysis of Mini BSS System

Qingdao Kretto Technology Co., Ltd.



1.1 Initial total cost of Mini BSS

Item		Amount
Office investment		US\$1,408,451
Initial equipment investment	1 set of server +1 million of Mini BSS	US\$1,521,127
Sales and after-sales expenses (including travel expenses, other expenses, etc.)		US\$4,225,352
Office expenses		US\$ 422,535
Annual personnel cost (first year)		US\$12,070,423
Total		US\$19,647,888

Office cost breakdown:

Office 1500 m²

Server room 200 m²

Laboratory 300 m²

Total: 2,000 m²

Self built plus decoration cost: 5000/m²

Total investment: US\$1,408,451

Details of Equipment Investment Costs:

Servers: 1 set (for 200,000 vehicles): US\$676,056

1 million Mini BSS: US\$845,070

Unit price of battery cells: US\$0.85 per cell

Total cost: US\$1,591,549

1.1 Initial Total Cost of Mini BSS

Personnel list and cost

Item	Number of personnel	Annual salary	Total cost
CEO	1	US\$211,268	US\$211,268
Technical expert	2	US\$169,014	US\$338,028
Technician	50	US\$126,761	US\$6,338,050
After sales personnel	200	US\$16,901	US\$3,380,200
Sales personnel (Asia, Africa, Middle east, etc.)	80	US\$14,085	US\$1,126,800
Sales personnel (European and American)	20	US\$28,169	US\$563,380
Administrative personnel	4	US\$14,085	US\$56,338
Financial staff	4	US\$14,085	US\$56,338
<u>Total</u>	361		US\$12,070,423

1.2 ROI of Mini BSS

1.2.1 Annual Fixed and Variable Costs

Item		Description	Amount
Office investment		20-year amortization	US\$70,423
Initial equipment investment	1 set of server+1 million of Mini BSS	10-year amortization	US\$152,113
Office expenses		Estimate	US\$422,535
<u>Annual fixed cost</u>			<u>US\$645,071</u>

Variable cost	2025	2026	2027	2028	2029
Annual personnel cost	US\$ <u>12,070,423</u>	US\$ <u>18,830,986</u>	US\$ <u>22,211,268</u>	US\$ <u>25,591,549</u>	US\$ <u>32,352,113</u>
Sales expenses (including travel expenses, other expenses, etc.)	US\$ <u>4,225,352</u>	US\$ <u>9,859,155</u>	US\$ <u>12,676,056</u>	US\$ <u>15,492,958</u>	US\$ <u>21,126,761</u>

*The number of after-sales service personnel in personnel costs increases year-on-year in proportion to market growth.

*Sales expenses and travel expenses increase year-on-year in proportion to market growth.

1.2 ROI of Mini BSS

1.2.2 Market Outlook for Electric Vehicles

Outlook for the Chinese Electric Vehicle Market	Unit	2022	2023	2024	2025	2026	2027	2028	2029
Accumulated number of electric vehicles	Set	13,100,000	16,000,000	20,000,000	25,600,000	32,768,000	41,943,040	53,687,091	68,719,477
Increased number of EV	Set		2,900,000	4,000,000	5,600,000	7,168,000	9,175,040	11,744,051	15,032,386
Growth rate	%		22%	25%	28%	28%	28%	28%	28%

Outlook for the European and American Electric Vehicle Market	Unit	2022	2023	2024	2025	2026	2027	2028	2029
Accumulated number of electric vehicles	Set	8,050,000	9,300,000	10,695,000	12,299,250	14,144,138	16,265,758	18,705,622	21,511,465
Increased number of EV	Set		1,250,000	1,395,000	1,604,250	1,844,888	2,121,621	2,439,864	2,805,843
Growth rate	%		16%	15%	15%	15%	15%	15%	15%

Africa, America, Asia and other regions	Unit	2022	2023	2024	2025	2026	2027	2028	2029
Accumulated number of electric vehicles	Set	6,000,000	7,130,000	9,420,000	11,304,000	13,564,800	16,277,760	19,533,312	23,439,974
Increased number of EV	Set		1,800,000	1,620,000	1,884,000	2,260,800	2,712,960	3,255,552	3,906,662
Growth rate	%		19%	21%	20%	20%	20%	20%	20%

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1.2 ROI of Mini BSS

1.2.3 Estimation of Sales in the Mini BSS EV Market

Chinese Market		Unit	2025	2026	2027	2028	2029	Total
EV-Mini BSS Diagnostic Services	Target market share	%	5%	15%	20%	25%	35%	
	Number of users	Set	1,280,000	4,915,200	8,388,608	13,421,773	24,051,817	
	Monthly fee	USD	2.11	2.11	2.11	2.11	2.11	
	Annual sales revenue	Million USD	7.04	26.76	46.48	74.65	133.80	288.73

European & American Market		Unit	2025	2026	2027	2028	2029	Total
EV-Mini BSS Diagnostic Services	Target market share	%	5%	15%	20%	25%	35%	
	Number of users	Set	614,963	2,121,621	3,253,152	4,676,405	7,529,013	
	Monthly fee	USD	3.52	3.52	3.52	3.52	3.52	
	Annual sales revenue	Million USD	2.82	11.27	18.31	25.35	42.25	100.00

Africa, America, Asia and other regions		Unit	2025	2026	2027	2028	2029	Total
EV-Mini BSS Diagnostic Services	Target market share	%	5%	15%	20%	25%	35%	
	Number of users	Set	565,200	2,034,720	3,255,552	4,883,328	8,203,991	
	Monthly fee	USD	2.11	2.11	2.11	2.11	2.11	
	Annual sales revenue	Million USD	2.82	8.45	14.08	21.13	35.21	80.28

1.2 ROI of Mini BSS

1.2.4 Outlook and Sales Estimation of Energy Storage Market

Outlook for the World's New Energy Storage Market	Unit	2022	2023	2024	2025	2026	2027	2028	2029
Accumulated installation quantity	GWh	80	114	166	241	349	506	734	1,064
Increased installation volume	GWh		34	52	75	108	157	228	330
Growth rate	%		43%	46%	45%	45%	45%	45%	45%

World's New Energy Storage Market		Unit	2025	2026	2027	2028	2029	TOTAL
ESS-Mini BSS Diagnostic Services	Target market share	%	5%	15%	20%	25%	35%	
	Target battery capacity	GWH	12	52	101	183	372	
	Monthly fee	USD	117,323	117,323	117,323	117,323	117,323	
	Annual sales revenue	Million USD	5.63	22.54	43.66	80.28	163.38	315.49

1.2 ROI-Mini BSS

1.2.5 Mini BSS sales estimation

Chinese Market		Unit	2025	2026	2027	2028	2029	Total
EV-Mini BSS	Target market share	%	5%	15%	20%	25%	35%	
	Number of users	Set	280,000	1,075,200	1,835,008	2,936,013	5,261,335	
	Unit Price	USD/set	507	507	507	507	507	
	Annual sales revenue	Million USD	142.25	545.07	930.99	1,488.73	2,667.61	5,774.65
European and American Markets		Unit	2025	2026	2027	2028	2029	Total
EV-Mini BSS	Target market share	%	5%	15%	20%	25%	35%	
	Number of users	Set	80,213	276,733	424,324	609,966	982,045	
	Unit Price	USD/set	507	507	507	507	507	
	Annual sales revenue	Million USD	40.85	140.85	215.49	309.86	498.59	1,202.82
Africa, America, Asia and Other Regions		Unit	2025	2026	2027	2028	2029	Total
EV-Mini BSS	Target market share	%	5%	15%	20%	25%	35%	
	Number of users	Set	94,200	339,120	542,592	813,888	1,367,332	
	Unit Price	USD/set	507	507	507	507	507	
	Annual sales revenue	Million USD	47.89	171.83	274.65	412.68	692.96	1,601.41
World New Energy Storage Market		Unit	2025	2026	2027	2028	2029	Total
ESS-Mini BSS	Target market share	%	5%	15%	20%	25%	35%	
	Number of users	GWH	4	16	31	57	116	
	Unit Price	USD/GWH	5,070,423	5,070,423	5,070,423	5,070,423	5,070,423	
	Annual sales revenue	Million USD	19.72	81.69	157.75	288.73	588.73	1,136.62

1.2 ROI of Mini BSS

1.2.6 Sales Estimation of Mini BSS

Summary of Sales Amount		Unit	2025	2026	2027	2028	2029
EV Mini BSS Services	Chinese market	Million USD	42.25	183.10	309.86	492.96	887.32
	European and American markets		14.08	42.25	70.42	98.59	169.01
	Other markets		14.08	56.34	98.59	14.08	225.35
ESS Mini BSS Services	Global		6.76	28.17	56.34	98.59	197.18
Total				84.51	309.86	521.13	830.99

- The cost price of each BSS Patches is US\$0.56 per cell, and the selling price is US\$0.85 per cell.
- The calculation for each EV is based on 600 cells per vehicle.
- For a 3MWh ESS(energy storage system), the number of cells in a 20-foot container is calculated as 18,000 cells.

1.3 ROI of Mini BSS

Summary of Sales Amount		Unit	2025	2026	2027	2028	2029
EV-Mini BSS Diagnostic Services	Chinese market	Million USD	7.04	26.76	46.48	74.65	133.80
	European and American markets		2.82	11.27	18.31	25.35	42.25
	Other markets		2.82	8.45	14.08	21.13	35.21
ESS-Mini BSS Diagnostic Services	Global		5.63	22.54	43.66	80.28	163.38
EV-Mini BSS	Chinese market		42.25	183.10	309.86	492.96	887.32
	European and American markets		14.08	42.25	70.42	98.59	169.01
	Other markets		14.08	56.34	98.59	14.08	225.35
ESS-Mini BSS	Global		6.76	28.17	56.34	98.59	197.18
Total				95.49	378.87	657.75	1032.39
ROI		%	400%	1779%	3167%	5042%	9158%

- Initial total investment cost: US\$19,647,887
- Annual fixed cost: US\$645,070
- The number of after-sales service personnel will increase in proportion to market growth.
- Sales and travel expenses will increase in proportion to market growth.
- **Return on Investment (ROI) = (Annual Profit - Annual Fixed Costs - Variable Costs) / Initial Total Investment Cost**

Investment Advice

2

Business Target
(Middle-term)

By 2029, the sales revenue will reach over **1.66 billion US Dollar**
the **operating profit will exceed 50%**

Required Funds

Seed Investment
19.72 million
US Dollar

Financial security

April, 2024

Required period

October, 2024
~
June, 2025
(8 months)

Required items

- Establishing of local legal entity and operating expenses
- Constructing a central server and setting up an exhibition hall for S/W, as well as marketing and promotional expenses
- Product development upgrade
- BSS production for the initial market